

NATIONAL RETAIL LOGISTICS GROUP

INTERNAL OPERATIONAL AUDIT: POST-CYCLONE ALFRED

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Reporting Period: 20 February 2025 – 10 March 2025

Subject: Supply Chain Integrity and Warehousing Recovery Status

1. SITUATION SUMMARY

Between **20 February and 8 March 2025**, Severe Tropical Cyclone Alfred moved across the Coral Sea, making landfall as a significant system near **Moreton Island** on March 7th. The resulting "once-in-50-year" rainfall and subsequent flooding across **Southeast Queensland** and **Northern NSW** triggered a Category 4 emergency response across our regional logistics network.

This report analyzes the massive "Bullwhip Effect" on inventory, the closure of key maritime and land corridors, and the status of our recovery efforts.

2. NETWORK & INFRASTRUCTURE DISRUPTIONS

The cyclone effectively paralyzed the "Golden Triangle" freight route for 96 hours.

- **Port of Brisbane:** Maritime Safety Queensland (MSQ) suspended all vessel movements from March 5–9. This created a **14-day backlog** in sea-freight arrivals, impacting seasonal inventory for our general merchandise divisions.
- **Rail Corridors:** Track washouts between **Brisbane and Gympie** and the suspension of the **North-South line** (Acacia Ridge to Taree) forced a total transition to road freight, which was already over-capacity.
- **Road Arteries:** Closures on the **Bruce and Pacific Highways** led to a "bottleneck" at our central Distribution Centres (DCs). Lead times for regional replenishment increased from 48 hours to **9.5 days**.

3. WAREHOUSING & DEMAND ANALYSIS

The primary challenge was a simultaneous **supply contraction** and **demand surge** for essential goods.

Metric	Impact Status	Data / Observations

Inventory Demand	▲ +42%	Surge in "Emergency Prep" and "Cleaning/Repair" SKUs.
Stock-Out Rate	▲ 18%	Critical shortages in fresh produce, bread, and dairy.
Warehouse Labor	▼ -30%	Staff displacement due to flooding in Rocklea and Wacol zones.
Storage Density	96%	High accumulation of inbound stock that could not be dispatched.

Operational Note: To mitigate the "empty shelf" crisis, we utilized the Queensland Government's **24-hour resupply window**. This allowed our DCs to operate 24/7 without noise-curfew restrictions, facilitating the movement of over **2,000 B-Double loads** of essential supplies in a 72-hour window.

4. SUPPLY CHAIN RECOVERY STRATEGY

To stabilize operations following the dissipation of the system on **March 8, 2025**, the following actions are in effect:

1. **Inventory Rationing:** Implementing temporary "Per-Customer Limits" on high-demand building and cleaning supplies to ensure equitable distribution.
2. **Cold-Chain Rerouting:** Utilizing regional "Staging Hubs" in Toowoomba to bypass flooded coastal roads for perishable goods.
3. **Force Majeure Management:** Working with Tier-1 suppliers who have declared *Force Majeure* to secure priority allocation of raw materials.

AUTHORIZATION

Prepared By: Executive Lead, Group Supply Chain

Approved By: Chief Operations Officer

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